MPC ASSISTANT · STUDENT HANDOUT

The Top-Down Method

Six passes down the timeframes. Each one answers a single question, and you are not allowed to move down until the pass above has answered. By the time you reach the 5-minute chart you are not looking for a trade — you are waiting for one you already described.

The shape of the work

Most traders open a chart and hunt. This is the opposite. You **build an idea first**, in writing, from the top down — direction, price, destination — and then you sit and wait for the market to satisfy conditions you set before you were involved.

That is what makes the entry small and the target large. The stop lives on a 5-minute low. The target lives on a daily or weekly level. The gap between those two is the whole edge.

PASS	CHART	THE ONE QUESTION	MPC TELLS YOU
1 · Trend	Monthly · Weekly · Daily	Which way is this market going?	External structure — HH/HL or LH/LL. JARVIS **BIAS**.
2 · Range	Daily · 4H	Is price cheap or expensive right now?	The fib. Below the 0.5 is discount, above is premium.
3 · Liquidity	Daily · 4H	Where are the stops?	Liquidity lines — PDH/PDL, session H/L, H4 sweep, equal highs and lows. JARVIS **LIQ**.
4 · Destination	Weekly · Daily	Where is this trade going?	The nearest un-swept liquidity, HTF fair value gap or order block.
5 · Level	4H · 15m	What exact price do I want?	The fib 0.618 / 0.786, plus the nearest round number.
6 · Trigger	5m · 1m	Has the trap sprung?	Internal structure — iBOS → iSOS → iSOS.

> **The order is the method.** A perfect trigger inside a wrong bias is a losing trade with good manners. If pass 1 says down, nothing on the 5-minute chart can make you a buyer.

The six passes

PASS 1

Trend — read it as brackets, not as timeframes

Timeframes travel in pairs that behave alike. Treat each pair as one layer: **Monthly/Weekly**, **Daily/4H**, **1H/15m**, **5m/1m**. Inside a layer the story is the same; between layers it can be opposite, and that is normal rather than confusing.

Higher highs and higher lows is bullish. Lower highs and lower lows is bearish. That is all trend is. Write down the direction of each layer before you do anything else.

The layer above always outranks the layer below. When the lower layer breaks structure back into agreement with the higher one, that is alignment, and alignment is where the high-probability trades live. You may still trade against the higher layer — but then you are scalping, at half size, and you know it in advance.

PASS 2

Range — buy cheap, sell expensive

Fib the current leg: significant low to significant high. Ignore every ratio except the **50%**. Below it, price is on discount and you may buy. Above it, price is at a premium and you may sell. You would not buy a car at full price; do not buy a market at one either.

If price never came back to the discount, the leg is not finished. Do not start a new range. Extend the one you have and keep waiting. A range only completes when price has offered you a fair price in it.

PASS 3

Liquidity — find where the stops are

Orders are everywhere. The job is not to list them, it is to find where a **bulk** of them sits, because that is where emotion peaks and where price is pulled.

Stops collect under lows and above highs. So: under prior swing lows, under a trendline, under the Asia / London / New York session low, under yesterday's low, under last week's low, under a 4H low, under a run of equal lows. When several of those stack in one place, that is a pool worth respecting. MPC draws all of them for you.

Liquidity has to be taken before you buy. If it has not been, price has unfinished business below you and the reversal you are imagining is one leg early.

PASS 4

Destination — decide where the trade ends before it starts

Now look up and to the left, and name the place the trade is going: the nearest un-swept liquidity pool, a weekly or monthly fair value gap, an order block, a cluster of equal highs.

That is the target, and it is chosen *before* entry, not discovered afterwards.

This is where the reward comes from. A stop measured in single dollars against a target measured in tens is how one trade pays for ten attempts.

PASS 5

Level — the exact price you want

Inside the discount, two things narrow it to a price. First the fib: the **0.618** and the **0.786**. Second, round numbers — the market turns on **x00, x20, x50 and x80**, because that is where human beings put orders. Nobody sets a stop at 4,237.50; they set it at 4,240.

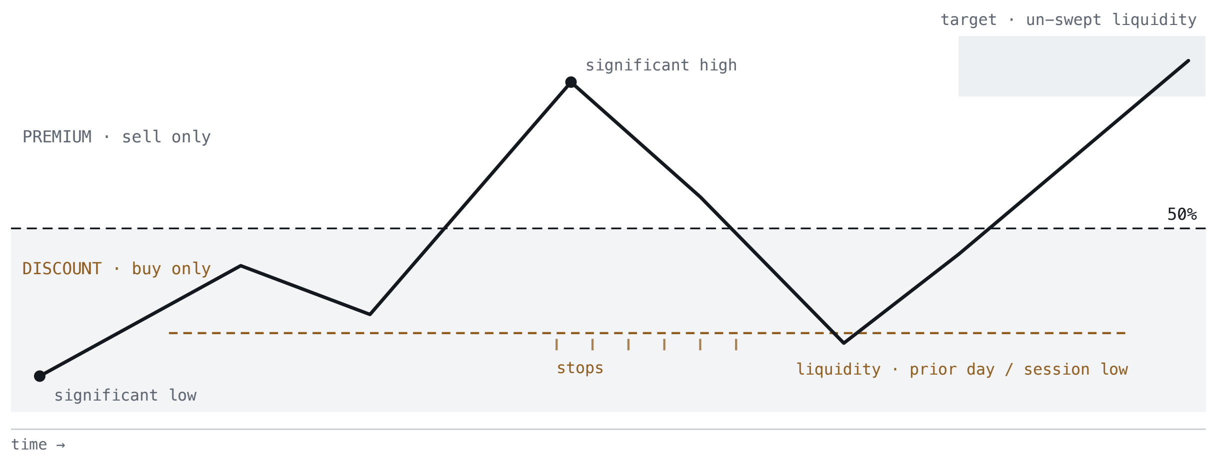
Find the nearest round number sitting just above the 0.618, and the one just above the 0.786. Mark them. Then look to the left of that price for a fair value gap, an order block, or a prior daily low. Layers at one price is what turns a level into a decision.

PASS 6

Trigger — the failed break

Everything above tells you *where*. This tells you *when*. It is the subject of the next two pages, and it is the only pass that is allowed to put you in a trade.

Passes 2 to 4, drawn

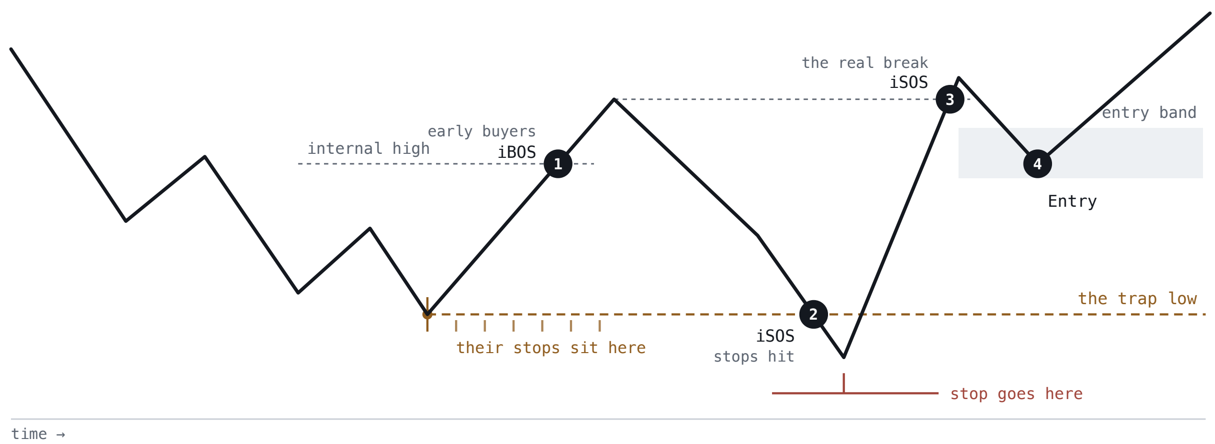


One picture, three passes. The 50% splits the leg into a half you may buy and a half you may not. The stops sit under the shaded half. The target sits above the high, and it was chosen before entry. If price had turned *above* the 50%, there would be no trade — the leg would simply not be finished, and the range would extend rather than reset.

Pass 6 — the failed break

Price does not turn because a level looks nice. It turns where orders are trapped. The densest trap available is a **break of structure that fails**. The break brings buyers in with their stops just under it. Price runs those stops. At the same moment, the sellers who were stopped out earlier pile back in the wrong way. Both sides are wrong inside a handful of candles — and *then* price breaks up for real. That second break is the entry.

On the 5-minute chart, MPC prints all three events for you as **internal** structure.



Read it left to right. The amber line only exists from the dot onward — the market made that low, then came back and took it. That is what separates this from sweeping yesterday's low, which was already on your chart this morning.

1 **iBOS — the early buyers.**
Internal structure breaks up while the bigger picture is still down. Buyers commit and put their stops under the low the break came from. Mark that low. It is the only level that matters for the next twenty candles.

2 **iSOS — the stops get hit.**
Price comes back and takes that low. Internal structure flips down. Those buyers are gone and the earlier sellers are piling back in.
Do nothing.
This is the bait, not the signal.

3 **iSOS — the real break.**
Price snaps back and breaks internal structure up again, hard. This is the signal. A limp break is a range, not a reversal.

4. **Entry.**
   Take the retest. Stop below the low from step 2, never step 1. Target the destination you named in pass 4.

> **Two iSOS, not one.** The most common mistake is buying the first flip. Steps 2 and 3 are both iSOS and they point opposite ways. One iSOS is not the setup.
>
> **The step-2 low must reach the step-1 origin.** Otherwise it is an ordinary pullback that happened to flip internal structure, and nobody was trapped.

Worked example

XAUUSD, 5-minute, 6–7 August 2026. Read the marks in the same order as the six passes.

Drop the annotated 5m screenshot in here.

PASS	WHAT THE CHART SHOWED
1 · Trend	Weekly and Daily bullish, closing above the previous week's and day's highs. 4H still bearish — the lower layer had not yet caught up.
2 · Range	Price sold into the discount half of the daily leg through the 6th, bottoming near 4,225.
3 · Liquidity	The H4 low was swept. The run of 5-minute lows built through the afternoon was taken with it.
4 · Destination	Un-swept liquidity above, into the H4 high.
5 · Level	The reaction came in around 4,230–4,240 — the round-number band right under the level.
6 · Trigger	Late on the 6th: iBOS, then iSOS taking the trap low, then iSOS back up. Entry on the retest, stop a few dollars below.
Result	Ran to roughly 4,318 by the morning of the 7th, with the lower layers flipping bullish behind it — 15m expansion, 1m shift.

Prices above are read off the chart for teaching. Fill the exact fill, stop and target from your own journal before showing it.

Execution

Entry	The retest after step 3. If the impulse was small, take it; if it was large, wait for the pullback so the stop is not paying for the impulse.
Stop	Below the swept low, plus a small buffer. Nothing else.
First target	At **+3R** close a fifth and move the stop to breakeven. That fifth has now paid for your next stop-out.
Exception	If price ran to +3R with no new structure behind it, take the partial but tighten the stop under the last minor low instead of going to breakeven.
Second target	The previous high, as price moves into higher-high territory.
Final target	The pass-4 destination. Set it hard. A target you decide to hold past is no longer a target.
Adding	Only on the next higher low, and only when every open position is already risk-free.

Risk

Per trade	0.5% funded. 1% while passing an evaluation.
Per idea	Three attempts in a day, maximum. Then stop, whatever the chart says.
At risk at once	One position. Never stack risk on risk.
Counter-trend	Half size, and the target is the 50% — never the full idea.
Overnight	These are multi-day holds. Know your swap before you size.

> **The big reward numbers are a stack, not a trade.** Three risk-free positions on one idea, each around 1:10, is where 20R comes from. Individual trades run 1:3 to 1:15. Anyone quoting 1:20 on a single entry has misread it.

What is not a setup

YOU SEE	WHY IT FAILS
One iSOS only	Nobody was trapped. That is a trend continuing.
Step 2 never reaches the step–1 low	The stops are still sitting there. The fuel has not been spent.
Step 3 is slow and choppy	A reversal off a stop run is violent. Slow means the other side still has control.
No liquidity taken anywhere	Price has unfinished business below you. You are one leg early.
Above the 50% and buying	You are paying full price. Pass 2 outranks pass 6, always.
Against the higher layer	Half size at most, back to the 50% only.

The pre-trade sheet

Fill this in before you click. If a line is blank, you do not have a trade.

- [ ] Monthly / Weekly / Daily direction — written down
- [ ] Which layer am I trading with, and which am I trading against?
- [ ] Range drawn. Am I below or above the 50%?
- [ ] Which liquidity has been taken? Name it.
- [ ] Destination named, with a price
- [ ] Level: fib 0.618 / 0.786, nearest round number, anything to the left
- [ ] iBOS → iSOS → iSOS confirmed on the 5m
- [ ] Stop price, risk in money, and R to target — all three before entry
- [ ] Attempts used today

NOTE

This document describes how to read the chart. The failed-break trigger has not yet been measured in the lab, so teach it as a pattern to recognise and a process to follow — not as a validated edge with a published win rate.